

Brothers filed for bankruptcy after being denied a federal bailout, and Merrill Lynch got taken over by Bank of America in a distress sale in the space of a few hours. Between them, the two storied investment banks had a history of nearly 252 years. On Wall Street, rumours were swirling thick and fast that it was a matter of time before Morgan Stanley, Citigroup and even the seemingly invincible Goldman Sachs went belly up.

In a matter of just six months, three of the Big Five US investment firms – Lehman, Merrill, Bear Sterns – had become history, and the surviving ones – Goldman Sachs and Morgan Stanley – had changed in character, altering the landscape of Wall Street forever.

It was hardly a surprise that financial sector stocks in the US were being hammered out of shape. Fearing that more banks could go under if the share prices continued to fall at this rate, the Securities and Exchange Commission (SEC) announced a temporary emergency ban on short-selling the stocks of all companies in the financial sector.

I was hoping that SEBI would not imitate SEC's strategy and impose a similar ban here. On Dalal Street, the sector that had the most to fear from the marauding bears was real estate. Stocks like DLF, Unitech, HDIL, Sobha Developers, Anant Raj, Omaxe and Orbit Corp were down 60-70 per cent from their peaks in January, and it still did not look as if the stocks had bottomed out.

The 'land bank' fad, which I have described earlier, had pushed up the prices of these stocks to dizzying highs. Investors valued these companies on the basis of the large parcels of land owned by them, though the title deeds of many of these parcels were in dispute. Also, it was a case of counting the chickens before they hatched, as it would take a while before the land was developed and buyers emerged. Real estate prices had been on a tear, as it always happens in a bull market, and everybody felt property prices would be on the upswing for many years to come, if not in perpetuity. Investors had also overlooked the poor corporate governance standards in the sector, a good chunk of whose dealings were done in cash that would never show up in the account books. Promoters of most of the realty companies were also known to play their own stock, and many had raised funds by pledging shares held in benami accounts. But now that the cycle had reversed, the same investors who had once chased prices were now exiting.